Adopting Release,[483] the Form N-PX Adopting Release,[484] the Settlement Cycle Adopting Release,[485] the May 2023 SEC Form PF Adopting Release,[486] the Public Company Cybersecurity

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483 *Electronic Recordkeeping Requirements for Broker-Dealers, Security-Based Swap Dealers, and Major Security-Based Swap Participants*, Release No. 34-96034 (Oct. 12, 2022) [87 FR 66412 (Nov. 3. 2022)] ("Electronic Recordkeeping Adopting Release"). One commenter stated that the Proposing Release could create concurrent obligations with Rule 17a-4 and Rule 18a-6. *See* AWS Comment Letter. Rule 17a-4 and Rule 18a-6 were amended in the Electronic Recordkeeping Adopting Release. Those amendments modified requirements regarding the maintenance and presentation of electronic records, the use of third-party recordkeeping services, and prompt production of records. The compliance dates were May 3, 2023, and Nov. 3, 2023. *See* Electronic Recordkeeping Adopting Release, section II.I.

484 *Enhanced Reporting of Proxy Votes by Registered Management Investment Companies; Reporting of Executive Compensation Votes by Institutional Investment Managers,* Release Nos. 33–11131, 34-96206, IC-34745 (Nov. 2, 2022) [87 FR 78770 (Dec. 22, 2022)] ("Form N–PX Adopting Release"). The Form N–PX amendments enhanced the information funds report publicly about their proxy votes, and apply to most registered management investment companies. The effective date is July 1, 2024. Form N-PX Adopting Release, section II.K.

485 *Shortening the Securities Transaction Settlement Cycle,* Release No. 34-96930 (Feb. 15, 2023) [88 FR 13872 (Mar. 6, 2023)] ("Settlement Cycle Adopting Release"). This rule shortens the standard settlement cycle for most broker-dealer transactions from two business days after the trade date to one business day after the trade date. To facilitate orderly transition to a shorter settlement cycle, the rule requires same-day confirmations, allocations, and affirmations for processing transactions subject to the rule, and requires registered investment advisers to make and keep records of each confirmation received, and of any allocation and each affirmation sent or received, with a date and time stamp for each indicating when it was sent or received. With certain exceptions, the rule has a compliance date of May 28, 2024. Settlement Cycle Adopting Release, sections VII, VII.B.3.

486 *Form PF; Event Reporting for Large Hedge Fund Advisers and Private Equity Fund Advisers; Requirements for Large Private Equity Fund Adviser Reporting,* Investment Company Act Release No. 6297 (May 3, 2023) [88 FR 38146 (June 12, 2023)] ("May 2023 SEC Form PF Adopting Release"). The Form PF amendments adopted in May 2023 require large hedge fund advisers and all private equity fund advisers to file reports upon the occurrence of certain reporting events. The compliance dates are Dec. 11, 2023, for the event reports in Form PF sections 5 and 6, and June 11, 2024, for the remainder of the Form PF amendments in the May 2023 SEC Form PF Adopting Release. *See* May 2023 SEC Form PF Adopting Release, section II.E.

Rules,[487] the Money Market Fund Adopting Release,[488] the Investment Company Names Adopting Release,[489] the Beneficial Ownership Adopting Release,[490] the Private Fund Advisers

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487 Public Company Cybersecurity Rules, *supra* footnote 14. The amendments require current disclosure about material cybersecurity incidents, and periodic disclosures about a registrant's processes to assess, identify, and manage material cybersecurity risks, management's role in assessing and managing material cybersecurity risks, and the board of directors' oversight of cybersecurity risks. With respect to Item 106 of Regulation S-K and item 16K of Form 20-F, all registrants must provide disclosures beginning with annual reports for fiscal years ending on or after Dec. 15, 2023. With respect to incident disclosure requirements in Item 1.05 of Form 8-K and in Form 6-K, all registrants other than SRCs were required to begin complying on Dec. 18, 2023; SRCs must begin complying with Item 1.05 of Form 8-K on June 15, 2024. With respect to structured data requirements, all registrants must tag disclosures beginning one year after the initial compliance date: specifically, beginning with annual reports for fiscal years ending on or after Dec. 15, 2024, in the case of Item 106 of Regulation S-K and item 16K of Form 20-F, and beginning Dec. 18, 2024, in the case of Item 1.05 of Form 8-K and Form 6-K. Cybersecurity Disclosure Adopting Release, section II.I.

488 *Money Market Fund Reforms; Form PF Reporting Requirements for Large Liquidity Fund Advisers; Technical Amendments to Form N-CSR and Form N-1*, Release No. 33-11211 (July 12, 2023) [88 FR 51404 (Aug. 3, 2023)] ("Money Market Fund Adopting Release"). The amendments are designed to improve the resilience and transparency of money market funds by increasing minimum liquidity requirements to provide a more substantial buffer in the event of rapid redemptions; removing provisions that permitted a money market fund to temporarily suspend redemptions, and removing the regulatory tie between the imposition of liquidity fees and a fund's liquidity level; requiring certain money market funds to implement a liquidity fee framework that will better allocate the costs of providing liquidity to redeeming investors; and enhancing certain reporting requirements. The Money Market Fund Adopting Release has compliance dates of Oct. 2, 2024, for implementing mandatory liquidity fees and of Apr. 2, 2024, for discretionary liquidity fees; a compliance date of Apr. 2, 2024, for minimum liquidity requirements and weighted average maturity calculations; a compliance date of June 11, 2024, for certain form amendments and website reporting requirements; and an effective date of Oct. 2, 2023, for other provisions. Money Market Fund Adopting Release, section II.H.

489 *Investment Company Names*, Release No. 33-11238 (Sept. 20, 2023) [88 FR 70436 (Oct. 11, 2023)], as amended by *Investment Company Names; Correction*, Release No. 33-11238A (Oct. 24, 2023) [88 FR 73755 (Oct. 27, 2023)] ("Investment Company Names Adopting Release"). The amendments broaden the scope of the requirement for certain funds to adopt a policy to invest at least 80 percent of the value of their assets in accordance with the investment focus that the fund's name suggests; require enhanced prospectus disclosure for terminology used in fund names; impose related notice, recordkeeping, and reporting requirements. The compliance date for the final amendments is Dec. 11, 2025, for larger entities and June 11, 2026, for smaller entities. *See* Investment Company Names Adopting Release, sections II.H, IV.D.3.

490 *Modernization of Beneficial Ownership Reporting,* Release No. 33-11253 (Oct. 10, 2023) [88 FR 76896 (Nov. 7, 2023)] ("Beneficial Ownership Adopting Release"). Among other things, the amendments generally shorten the filing deadlines for initial and amended beneficial ownership reports filed on Schedules 13D and 13G, and require that Schedule 13D and 13G filings be made using a structured, machine-readable data language. The amendments are effective Feb. 5, 2024. The new filing deadline for Schedule 13G will not be required before Sept. 30, 2024, and the rule's structured data requirements have a one-year implementation period ending Dec. 18, 2024. Beneficial Ownership Adopting Release, section II.G.

Adopting Release,[491] the Securitizations Conflicts Adopting Release,[492] and the February 2024 Form PF Adopting Release.[493] These adopted rules are part of the baseline against which this economic analysis considers the benefits and costs of the final amendments. In response to commenters, this economic analysis also considers potential economic effects arising from the extent to which there is any overlap between the compliance period for the final amendments and the compliance periods for these other adopted rules.[494]

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491 *Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews*, Release No. IA-6383 (Aug. 23, 2023) [88 FR 63206 (Sept. 14, 2023)] ("Private Fund Advisers Adopting Release"). The Commission adopted five new rules and two rule amendments as part of the reforms. The compliance date for the quarterly statement rule and the audit rule is Mar. 14, 2025, for registered private fund advisers. For the adviser-led secondaries rule, the preferential treatment rule, and the restricted activities rule, the Commission adopted staggered compliance dates that provide for the following compliance periods: for advisers with $1.5 billion or more in private funds assets under management, a 12-month compliance period (ending on Sept. 14, 2024) and for advisers with less than $1.5 billion in private funds assets under management, an 18-month compliance period (ending on Mar. 14, 2025). The amended Advisers Act compliance provision for registered investment advisers had a Nov. 13, 2023, compliance date. *See* Private Fund Advisers Adopting Release, sections IV, VI.C.1.

492 *Prohibition Against Conflicts of Interest in Certain Securitizations*, Release No. 33-11254 (Nov. 27, 2023) [88 FR 85396 (Dec. 7, 2023)] ("Securitizations Conflicts Adopting Release"). The new rule prohibits an underwriter, placement agent, initial purchaser, or sponsor of an asset-backed security (including a synthetic asset-backed security), or certain affiliates or subsidiaries of any such entity, from engaging in any transaction that would involve or result in certain material conflicts of interest. The compliance date for securitization participants to comply with the prohibition is Jun. 9, 2025. Securitizations Conflicts Adopting Release, section II.I.

493 *Form PF: Reporting Requirements for All Filers and Large Hedge Fund Advisers*, Release No. IA-6546 (Feb. 8, 2024) [89 FR 17984 (Mar. 12, 2024)] ("February 2024 Form PF Adopting Release"). The Form PF amendments are designed to enhance the Financial Stability Oversight Council's ability to monitor systemic risk as well as bolster the SEC's regulatory oversight of private fund advisers and investor protection efforts. The compliance date for the rule is Mar. 12, 2025. February 2024 Form PF Adopting Release, section II.F.

494 *See infra* sections IV.D and IV.E. In addition, commenters indicated there could be overlapping compliance costs between the final amendments and proposals that have not been adopted. *See, e.g.*, IAA Comment Letter 2, Exhibit A; IAA Comment Letter 1; CAI Comment Letter; FSI Comment Letter. Proposed rules that commenters mentioned included *Cybersecurity Risk Management for Investment Advisers, Registered Investment Companies, and Business Development Companies*, Release No. 33-11028 (Feb. 9, 2022), 87 FR 13524 (Mar. 9, 2022); *Enhanced Disclosures by Certain Investment Advisers and Investment Companies About Environmental, Social, and Governance Investment Practices*, Release No. 33-11117 (Oct. 7, 2022) [87 FR 63016] (Oct. 18, 2022)]; *Open-End Fund Liquidity Risk Management Programs and Swing Pricing; Form N-PORT Reporting*, Release No. 33-11130 (Nov. 2, 2022), [87 FR 77172 (Dec. 16, 2022)]; *Safeguarding Advisory Client Assets*, Release No. IA-6240 (Feb. 15, 2023), [88 FR 14672 (Mar. 9, 2023)]; and *Cybersecurity Risk Management Rule for Broker-Dealers, Clearing Agencies, Major Security-Based Swap Participants, the Municipal Securities Rulemaking Board, National Securities Associations, National Securities Exchanges, Security-Based Swap Data Repositories, Security-Based Swap Dealers, and*

The parties directly affected by the final amendments, the "covered institutions,"[495] include every broker-dealer (3,476 entities),[496] every funding portal (92 entities),[497] every investment company (13,766 distinct legal entities),[498] every investment adviser (15,565 entities) registered with the Commission,[499] and every transfer agent (315 entities) registered with the Commission or another appropriate regulatory agency.[500] In addition, the final amendments will affect current and prospective customers of covered institutions as well as certain service providers to covered institutions.[501] The final amendments will impact hundreds of millions of customers. For example, as discussed in more detail in subsequent sections, carrying broker-

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Transfer Agents, Release No. 34-97142 (Mar. 15, 2023) [88 FR 20212 (Apr. 5, 2023)]. To the extent those proposals are adopted, the baseline in those subsequent rulemakings will reflect the existing regulatory requirements at that time.

495 *See infra* section IV.C.3.

496 Of these, 303 are dually registered as investment advisers. *See infra* section IV.C.3.a. These numbers exclude notice-registered broker-dealers, who will be deemed in compliance with the final provision through the substituted compliance provisions of Regulation S-P. *See supra* section II.B.3. For this release, the number of broker-dealers dually registered as investment advisers was estimated based on FOCUS filings for broker-dealers during the third quarter of 2023, Form BD filings as of Sept. 2023, and Form ADV filings for investment advisers as of Oct. 5, 2023. The Proposing Release cited a figure of 502 as of Dec. 2021. The correct number of broker-dealers dually registered as investment advisers as of Dec. 2021 in the Proposing Release should be 328. This change would not have affected the Commission's assessment of economic effects at Proposal as these assessments were focused primarily on effects at the level of individual covered institutions and their customers.

497 *See infra* section IV.C.3.b.

498 *See infra* section IV.C.3.d, in particular Table 4, for statistics on the different types of investment companies. Many of these distinct legal entities represent different series of a common registrant. Moreover, many of the registrants are themselves part of a larger family of companies (although BDCs and ESCs are not grouped in families, *see* Form N-2 and Form 40-APP). *See infra* footnote 660. We estimate there are 313 such families. *See infra* section IV.C.3.d. For this release, the number of families was estimated by counting unique family names in Form N-CEN filings as of Sept. 30, 2023. The Proposing Release cited a figure of 1,093 using 2021 N-CEN filings. The correct number of distinct fund families using 2021 N-CEN filings in the Proposing Release should be 327. This change would not have affected the Commission's assessment of economic effects at Proposal as these assessments were focused primarily on effects at the level of individual covered institutions and their customers.

499 *See infra* section IV.C.3.c.

500 *See infra* section IV.C.3.e.

501 *See infra* section IV.C.3.f.

dealers report a total of 233 million customer accounts,[502] registered investment advisers report a total of more than 51 million individual clients,[503] and transfer agents report around 250 million individual accounts.[504]

1. Safeguarding Customer Information: Risks and Practices

Over the last two decades, the widespread adoption of digitization and the migration toward Internet-based products and services has radically changed the manner in which firms interact with customers. This trend has also applied to the financial services industry.[505] Alongside this progress, the industry has observed increased exposure to cyberattacks that threaten not only the financial firms themselves, but also their customers. Hence, the trend toward digitization has increasingly turned the problem of safeguarding customer records and information into one of cybersecurity.[506] Cyber threat intelligence surveys find the financial sector to be a highly attacked industry,[507] making the problem of cybersecurity particularly acute for financial firms. The customer records and information in their possession can be quite

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502 *See infra* section IV.C.3.a.

503 *See infra* section IV.C.3.c.

504 *See infra* section IV.C.3.e.

505 *See* Michael Grebe et al., *Digital Maturity Is Paying Off*, BCG (June 7, 2018), *available at* https://www.bcg.com/publications/2018/digital-maturity-is-paying-off.

506 This is not to say that this is exclusively a problem of cybersecurity. Generally, however, the risks associated with purely physical forms of compromise are of a smaller magnitude, as large-scale compromise using physical means is cumbersome. The largest publicly known incidents of compromised information have appeared to involve electronic access to digital records, as opposed to physical access to records or computer hardware. For a partial list of recent data breaches and their causes. *See*, *e.g.*, Michael Hill and Dan Swinhoe, *The 15 Biggest Data Breaches of the 21st Century*, CSO (Nov. 8, 2022), *available at* https://www.csoonline.com/article/2130877/the-biggest-data-breaches-of-the-21st-century.html (last visited Apr. 9, 2024); Drew Todd, *Top 10 Data Breaches of All Time*, SECUREWORLD (Sept. 14, 2022), *available at* https://www.secureworld.io/industry-news/top-10-data-breaches-of-all-time (last visited Apr. 9, 2024).

507 *See, e.g.*, IBM, *X-Force Threat Intelligence Index 2022* (Feb. 2022), *available at* https://www.ibm.com/downloads/cas/ADLMYLAZ.

sensitive (e.g., personal identifying information, bank account numbers, financial transactions) and their compromise could lead to substantial harm.[508]

Certain recent changes in the industry, including changes discussed by commenters, have continued the trend toward digitization and the importance of cybersecurity. For example, the shift to remote work has brought new cybersecurity challenges. One commenter stated that 91 percent of data security professionals saw negative risk implications from remote and hybrid work.[509] The same commenter cited a report finding that in 2022, the cost of a data breach was on average nearly $1 million higher when remote work was a factor in the breach and more than $1 million higher in organizations with a share of employees working remotely between 80 percent and 100 percent compared with organizations where less than 20 percent of employees worked remotely.[510] Remote work arrangements have significantly expanded following the onset of the COVID-19 pandemic in the United States in 2020,[511] and a recent study found the financial services industry to be the fifth most flexible industry in terms of work location flexibility.[512]

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508 *See, e.g.*, David W. Opderbeck, *Cybersecurity and Data Breach Harms: Theory and Reality*, 82 MD. L. REV. 1001 (2023) ("A criminal actor can use stolen PII in true identity theft to open new lines of credit in the victim's name, including new credit cards, personal loans, business loans, or mortgages. Criminal actors also employ true identity theft to file for tax refunds, welfare, insurance, or pension benefits in the victim's name.").

509 *See* Better Markets Comment Letter, citing Hugo Guzman, *Remote Work Leading to Big Data-Loss Problems*, LAW.COM (Mar. 7, 2023).

510 *See* Better Markets Comment Letter citing IBM, *Cost of a Data Breach Report 2022* (July 2022) ("2022 IBM Cost of Data Breach Report"), *available at* https://www.ibm.com/downloads/cas/3R8N1DZJ. The 2023 version of the same report does not address remote work specifically.

511 Census Press Release, *U.S. Census Bureau Releases New 2021 American Community Survey 1-year Estimates for All Geographic Areas With Populations of 65,000 or More* (Sept. 15, 2022), *available at* https://www.census.gov/newsroom/press-releases/2022/people-working-from-home.html#:~:text=SEPT.,by%20the%20U.S.%20Census%20Bureau.

512 *See* THE FLEX INDEX, Q3 2023 FLEX REPORT, *available at* https://www.flex.scoopforwork.com/reports/flex-report-2023-q3 (last visited Apr. 9, 2024).

The financial sector is one of the biggest spenders on cybersecurity measures: a recent survey found that financial firms spent an average of approximately 13.6 percent of their technology budget on cybersecurity in 2023, compared to an overall average across industries of 11.6 percent.[513] While spending on cybersecurity measures in the financial services industry is considerable, it may nonetheless be inadequate—even in the estimation of financial firms themselves. According to one recent survey, 58 percent of financial firms self-reported "underspending" on cybersecurity measures.[514] In addition, some covered institutions increasingly use third-party vendors to provide a wide range of functions, which may implicate a review of those service providers' cybersecurity controls.[515]

Before adopting these amendments, the Commission did not require covered institutions to notify customers (or the Commission) in the event of a data breach, and so statistics relating to data breaches that occurred at covered institutions were not readily available. However, data compiled from notifications required under various state laws indicate that in 2022 the number of data breaches reported in the U.S. was 1,802—a 3 percent decrease over 2021, but a 63 percent increase over 2020.[516] Of these, 268 (15 percent) were reported by firms in the financial services

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513 *See* James Rundle, *Cybersecurity Budgets Grow, But at a Slower Pace*, WALL ST J. (Sept. 29, 2023), *available at* https://www.wsj.com/articles/cybersecurity-budgets-grow-but-at-a-slower-pace-89ce3d3c. One commenter agreed that total cybersecurity costs are significant. *See* Better Markets Comment Letter ("While the magnitude of dollar losses is difficult to estimate, it is clear that companies must expend significant resources to prevent breaches, detect breaches that do occur, contain the damage from breaches, prevent future breaches, and in some cases make customers whole.").

514 *See* IIF/McKinsey Report, *supra* footnote 450.

515 *See*, *e.g.*, FINRA, *Regulatory Notice 21-29: Vendor Management and Outsourcing* (Aug. 13, 2021), *available at* https://www.finra.org/sites/default/files/2021-08/Regulatory-Notice-21-29.pdf (encouraging firms that "use – or are contemplating using – Vendors to review […] obligations and assess whether their supervisory procedures and controls for outsourced activities or functions are sufficient to maintain compliance with applicable rules"). *See also infra* section IV.C.3.f for a discussion of different types of covered institutions' reliance on service providers.

516 *See* IRTC Data Breach Annual Report.

industry.[517] However, the report estimating these statistics states that the 1,802 breaches reported are a minimum estimate and states that in the U.S., the number of breach notices issued per business day in 2022 (7 notices) was much lower than in the European Union (356 notices) in 2021 (the last year for which data is available).[518] One commenter cited a report stating that nearly half of U.S. consumers had been affected by data breaches where a firm holding their personal data was hacked, compared to a global average of 33 percent of consumers.[519]

The average total cost of a data breach for a U.S. firm in 2023 was estimated to be $9.48 million by one report.[520] While the report does not provide estimates for U.S. financial services firms specifically, it estimated that world-wide, the cost of a data breach for financial services firms averaged $5.90 million, and that average costs for U.S. firms were approximately twice the world-wide average.[521] Hence, we can estimate that for U.S. financial firms, the cost of a data breach was about $12 million. The bulk of these costs is attributed to detection and escalation (36 percent), lost business (29 percent), and post-breach response (27 percent); customer notification is estimated to account for only a small fraction (8 percent) of these costs.[522] For the U.S. financial industry as a whole, this implies an estimate of aggregate notification costs under

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517 *See id.*

518 *See id. See also* Better Markets Comment Letter. The report suggests that this disparity may be related to the fact that in the European Union, enforcement officials, together with the organization affected by a breach, make the determination that the breach puts individuals or businesses at risk and therefore requires notification. *See also infra* section IV.D.1.b(4).

519 *See* EPIC Comment Letter, citing THALES, 2022 THALES CONSUMER DIGITAL TRUST INDEX (Sept. 2022).

520 *See* IBM, COST OF A DATA BREACH REPORT 2023 (July 2023) ("2023 IBM Cost of Data Breach Report"), *available at* https://www.ibm.com/reports/data-breach?utm_content=SRCWW&p1=Search&p4=43700077723822555&p5=p&&msclkid=45aa555fae8d1f62fb9c3066eddb719a&gclid=45aa555fae8d1f62fb9c3066eddb719a&gclsrc=3p.ds.

521 The 2023 IBM Cost of Data Breach Report estimates that the global average cost of a data breach is $4.45 million. One commenter, citing the 2022 IBM Cost of Data Breach Report, stated that the average cost of a data breach in 2022 was $4.35 million, which is a global average. *See* Better Markets Comment Letter. In the Proposing Release, we also cited the 2022 IBM Cost of Data Breach Report and stated that the cost of a data breach was $9.44 million, which applies to U.S. firms specifically.

522 *See* 2023 IBM Cost of Data Breach Report.

the baseline of between $200 million and $250 million.[523] Because these estimates are based on data breach incidence rates for all firms, and because financial firms are part of one of the most attacked industries,[524] the actual aggregate notification costs are likely higher than this estimated range.

Some commenters supported the Proposing Release's assessment that data breaches are an important risk currently faced by covered institutions and their customers.[525] One commenter cited an article describing a data breach at a financial institution that had cost that institution more than $150 million.[526] Commenters also mentioned additional types of risks. One commenter stated that in addition to the financial costs imposed on firms by data breaches, individuals whose sensitive information is compromised also suffer harms, both financial and psychological, as many become victims of identity theft.[527] Another commenter stated that the consequences of these breaches were staggering and that the Commission's proposals to establish minimum standards for incident response and breach notification could help with mitigation.[528] The same commenter cited a report by the Government Accountability Office indicating that past victims of identity theft, which can be a consequence of data breaches, have

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523 The $200 million figure is based on 8% (the customer notification portion) of an average cost of $9.48 million multiplied by 268 data breaches. The $250 million figure is based on the same calculation but using $12 million instead of $9.48 million. *See supra* footnotes 516 and 520 and accompanying text.

524 *See supra* footnotes 507-512 and accompanying text.

525 *See, e.g.*, Better Markets Comment Letter; Nasdaq Comment Letter.

526 *See* Better Markets Comment Letter, citing Emily Flitter & Karen Weise, *Capital One Data Breach Compromises Data of Over 100 Million*, N.Y. TIMES (July 29, 2019), *available at* https://www.nytimes.com/2019/07/29/business/capital-one-data-breach-hacked.html.

527 *See* Better Markets Comment Letter. Citing the IRTC Data Breach Annual Report, the same commenter also stated that globally, organizational data compromises impacted over 392 million individual victims in 2022.

528 *See* EPIC Comment Letter.

"lost job opportunities, been refused loans, or even been arrested for crimes they did not commit as a result of identity theft."[529]

2. Regulations and Guidelines

Two features of the existing regulatory framework are most relevant to the amendments: existing regulations that require covered institutions to notify customers in the event that their information is compromised; and existing regulations and guidelines that affect covered institutions' practices for safeguarding customers' information. While the relevance of the former is obvious, the latter is potentially more significant: regulations aimed at improving firms' practices for safeguarding customer information reduce the need for data breach notifications in the first place. In this section, we summarize these two aspects of the regulatory framework as well as existing annual notice delivery requirements.

a. State Law Customer Notification Requirements

(1) Scope of Requirements

All 50 states and the District of Columbia impose some form of data breach notification requirement under state law. These laws vary in detail from state to state but have certain common features. State laws trigger data breach notification obligations when some type of "personal information" of a state's resident is either accessed or acquired in an unauthorized manner, subject to various common exceptions. For the vast majority of states (46), a notification obligation is triggered only when there is unauthorized acquisition, while a handful of states (5) require notification whenever there is unauthorized access.[530]

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529 *See* EPIC Comment Letter citing U.S. Government Accountability Office, GAO-14-34, *Agency Responses to Breaches of Personally Identifiable Information Need to be More Consistent* (Dec. 2013), *available at* http://www.gao.gov/assets/660/659572.pdf.

530 *See, e.g.*, notification requirements in California (Cal. Civ. Code § 1798.82(a)) and Texas (Tex. Bus. & Com. Code § 521.053) triggered by the unauthorized acquisition of certain information, as compared to